SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

Department 19, Honorable Theodore C. Zayner Presiding
Maggie Castellon, Courtroom Clerk
191 North First Street, San Jose, CA95113
Telephone: 408.882.2310

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LAW AND MOTION TENTATIVE RULINGS
DATE: June 11, 2025 TIME: 1:30 P.M.
PREVAILING PARTY SHALL PREPARE THE ORDER
UNLESS OTHERWISE STATED (SEE RULE OF COURT 3.1312)

LINE #	CASE #	CASE TITLE	RULING
LINE 1	19CV344971	Alorica Inc. v. Fortinet, Inc.	See Line 1 for tentative ruling.
LINE 2	19CV344971	Alorica Inc. v. Fortinet, Inc.	See Line 1 for tentative ruling.
LINE 3	19CV344971	Alorica Inc. v. Fortinet, Inc.	See Line 1 for tentative ruling.
LINE 4	19CV344971	Alorica Inc. v. Fortinet, Inc.	See Line 1 for tentative ruling.
LINE 5	23CV415981	Kobayashi v. Dfinity USA Research LLC, et al.	See Line 5 for tentative ruling.
LINE 6	23CV415981	Kobayashi v. Dfinity USA Research LLC, et al.	See Line 5 for tentative ruling.
LINE 7	23CV415981	Kobayashi v. Dfinity USA Research LLC, et al.	See Line 5 for tentative ruling.
LINE 8	23CV415981	Kobayashi v. Dfinity USA Research LLC, et al.	See Line 5 for tentative ruling.
LINE 9			
LINE 10			
LINE 11			

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LAW AND MOTION TENTATIVE RULINGS

LINE 12			
LINE 13			

Calendar Lines 1 – 4

Case Name: Alorica Inc. v. Fortinet, Inc.
Case No.: 19CV344971

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on June 11, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This action arose from a dispute between plaintiff Alorica, Inc. ("Alorica") and Fortinet, Inc. ("Fortinet") regarding Alorica's purchase of secure network equipment and services. Alorica filed its complaint against Alorica in March 2019, alleging that the Fortinet technology that Alorica purchased did not perform as promised. In its operative Second Amended Complaint, Alorica asserted causes of action for: (1) breach of warranty; (2) negligent misrepresentation; and (3) intentional misrepresentation.

Fortinet filed a cross-complaint against Alorica in May 2019. Fortinet then filed its operative First Amended Cross-Complaint in June 2019, asserting causes of action for: (1) breach of contract; (2) fraud/intentional misrepresentation; (3) negligent misrepresentation; (4) defamation; (5) interference with prospective economic relations; (6) unfair competition; and (7) declaratory judgment. Fortinet later dismissed its causes of action for defamation, interference with prospective economic relations, and unfair competition. The court sustained with leave to amend Alorica's demurrer to Fortinet's breach of contract cross-claim, and Fortinet did not amend. The court granted Alorica's motion for summary judgment as to Fortinet's second and third causes of action for misrepresentation.

A jury trial began in September 2024 on Alorica's breach of warranty and misrepresentation causes action. At the close of evidence, the court granted a partial directed verdict in Fortinet's favor as to Alorica's claims for punitive damages and for $140 million in compensatory damages for its financing costs. After multiple days of deliberating, the jury found against Alorica and for Fortinet on all three causes of action, awarding Alorica $0 in damages. The court denied Alorica's motion for a new trial.

Now before the court are the following, each of which is opposed:

(1) Fortinet's Motion to Amend its Memorandum of Costs;

(2) Alorica's Motion to Tax Costs and Strike Fortinet's Memorandum of Costs;

(3) Fortinet's Motion to Strike or Tax Alorica's Memorandum of Costs; and

(4) Fortinet's Motion for Attorneys' Fees.

II. Fortinet's Motion to Amend its Memorandum of Costs

Fortinet filed a memorandum of costs on December 2, 2024. Fortinet now seeks leave to amend its memorandum of costs to account for costs it asserts were inadvertently omitted from its initial memorandum. Alorica opposes Fortinet's request to amend.

A. Legal Standard

A party claiming costs as the prevailing party must timely file a memorandum of costs:

> A prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of service of the notice of entry of judgment or dismissal by the clerk under Code of Civil Procedure section 664.5 or the date of service of written notice of entry of judgment or dismissal, or within 180 days after entry of judgment, whichever is first. The memorandum of costs must be verified by a statement of the party, attorney, or agent that to the best of his or her knowledge the items of cost are correct and were necessarily incurred in the case.

(California Rules of Court, rule 3.1700, subdivision (a)(1).) A party that fails to file and serve their memorandum of costs within the time prescribed is deemed to have waived any costs accruing in their favor. (*Davis Lumber Co. v. Hubbell* (1955) 137 Cal.App.2d 148, 150.) Because the time limitation for filing a request for costs is not jurisdictional in character, a trial court has broad discretion to allow relief from a late filing where there is absence of a showing of prejudice to the opposing party. (*Hoover Cmty. Hotel Dev. Corp. v. Thomson* (1985) 168 Cal.App.3d 485, 487-488.)

A trial court generally has discretion to permit the amendment of pleadings or proceedings, and California courts recognize a strong policy in favor of permitting such amendments. (See *Burkle v. Burkle* (2006) 141 Cal.App.4th 1029, 1042 (*Burkle*).) Code of Civil Procedure section 473, subdivision (a)(1), provides:

> The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code.

Code of Civil Procedure section 473, "specifically states that for amendments other than correcting mistakes in the pleading, the court *may* permit the amendment after giving notice to the adverse party." (*Kerkeles v. City of San Jose* (2011) 199 Cal.App.4th 1001, 1018 (*Kerkeles*) [review den. *Kerkeles (Michael) v. City of San Jose*, 2011 Cal. LEXIS 13038 (Cal., Dec. 21, 2011)].) There is a "strong policy in favor of liberal allowance of amendments." (*Ibid.*, quoting *Burkle*, *supra*, 141 Cal.App.4th at p. 1042; see also *Fogel v. Farmers Group, Inc.* (2008) 160 Cal.App.4th 1403, 1423 (*Fogel*) [denial of amendment is abuse of discretion when opposing party is not misled or prejudiced].)

B. Discussion

Fortinet asserts that, when in filed its initial memorandum of costs on December 2, 2024, it inadvertently omitted $485,173.00 in costs incurred for hosting electronic documents (i.e., item 14 on Judicial Council form MC-010, "Memorandum of Costs (Summary)"). (See Declaration of Erin E. Meyer in Support of Motion to Amend Fortinet, Inc.'s Memorandum of Costs, ¶ 3.) The amended memorandum of costs subsequently filed by Fortinet includes this omitted category of costs, and the proposed amendments are limited to account for costs incurred for hosting electronic documents. (*Id.* at ¶¶ 4-5.)

Fortinet contends that Alorica is not prejudiced by the proposed amendment and that the court has discretion to allow the amendment to correct the purportedly inadvertent omission. (See Memorandum of Points and Authorities in Support of Fortinet's Motion to Amend its Memorandum of Costs, p. 2:6-17.) Fortinet asserts that California courts have exercised discretion to grant relief in the context of errors that would otherwise result in the waiver of the right to claim costs. (*Ibid.*, relying upon *Pacific Southwest Airlines v. Dowty-Rotol* (1983) 144 Cal.App.3d 491, 491 (*Pac. Southwest Airlines*) ["the trial court had discretion to permit the filing of supplemental verification"].)

In opposition, Alorica contends the court should Fortinet's request to amend because Fortinet failed to provide any evidence of inadvertence. (Opp., pp. 2:11 – 3:13.) Alorica argues that Code of Civil Procedure section 473, subdivision (a) – authority relied upon by Fortinet in support of request to amend – only applies to the amendment of pleadings. Alorica points to *Ferry v. O'Brien* (1923) 63 Cal.App. 620, 626, stating: "[t]he facts set forth in the affidavit of respondent's counsel and filed with his motion to strike out the first memorandum of costs and for permission to file a new memorandum of costs presented a case of inadvertence and mistake, entitling respondent to relief under section 473 of the Code of Civil Procedure." Alorica also points out that the *Pac. Southwest Airlines* decision pertains to a tardy verification, and that in this case, Fortinet did not assert a timely claim for e-discovery hosting. (See *Pac. Southwest Airlines*, *supra*, 144 Cal.App.3d at p. 495.)

Here, the court finds that allowing the amendment is appropriate because this is a case of inadvertence and because Alorica has made no showing of prejudice. The court finds no merit to Alorica's contention that Code of Civil Procedure section 473, subdivision (a), only applies to the amendment of pleadings. By its own terms, the subdivision applies to "any pleading or proceeding." As Fortinet argues in reply, its counsel provided a declaration stating that its original memorandum of costs "inadvertently omitted the category of costs incurred for hosting electronic documents," and Aloria has provided no authority requiring more detail. Perhaps more importantly, Alorica has made no effort to argue or explain how it would be prejudiced by the proposed amendment. (See *Pollard v. Saxe & Yollas Dec. Co.* (1974) 12 Cal.3d 374, 381 ["In the absence of prejudice, the trial court has broad discretion in allowing relief on grounds of inadvertence from a failure to timely file a cost bill. [Citations.]"].)

C. Conclusion

Fortinet's motion to amend its memorandum of costs is GRANTED.

III. Alorica's Motion to Strike or Tax Costs

Alorica moves to strike or tax costs requested by Fortinet in its memorandum of costs. (Alorica's Mot. p. 1:2-6.) More specifically, Alorica requests that the court strike or tax costs relating to item 4 ("deposition costs"), item 5 ("service of process"), item 12 ("models, enlargements, and photocopies of exhibits"), and item 16 ("other"). (*Id.* at pp. 2:14-3:9.) Alorica contends that Fortinet is not the prevailing party, that certain costs requested are not authorized by statute, that certain costs requested were unreasonable or unnecessary, and that certain costs are not demonstrated to have been actually incurred in connections with the defense of this litigation. (*Id.* at p. 1:6-13.) Fortinet opposes the motion, contesting each of these points.

A. Legal Standard

"Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding." (Code Civ. Proc., § 1032, subd. (b).) Items explicitly allowed as costs are set forth in Code of Civil Procedure section 1033.5, subdivision (a).[1] Items expressly disallowed as costs are set forth in section 1033.5, subdivision (b). Other costs may be allowed or denied in the court's discretion. (§ 1033.5, subd. (c)(4).) "Any award of costs shall be subject to the following: [¶] (1) Costs are allowable if incurred, whether or not paid. [¶] (2) Allowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation. [¶] (3) Allowable costs shall be reasonable in amount." (§ 1033.5, subd. (c)(1)–(3).)

As its initial burden, the party seeking costs need only submit a memorandum of costs with a statement by the attorney verifying that the costs claimed are correct and were necessarily incurred in the case. (*Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1267 (*Jones*).) "If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on

[1] Unless otherwise indicated, all further statutory references are to this section.

the party claiming them as costs." (*Ladas v. California State Auto. Assn.* (1993) 19 Cal. App. 4th 761, 774 (*Ladas*).)

B. Discussion

Fortinet seeks five categories of costs: (1) $21,761.71 in filing and motion fees; (2) $404,119.01 in deposition costs; (3) $42,574.52 for service of process; (4) $267,802.54 for models, enlargements, and photocopies of exhibits; (5) and $485,173.00 fees for hosting electronic documents, for a total of $1,662,896.84 in requested costs. All of these categories of costs are generally recoverable under section 1033.5. Alorica argues that Fortinet is not entitled to costs as the prevailing party, and that even if it were, Fortinet is seeking costs far outside the bounds of what is recoverable under the pertinent authority.

1. *Entitlement to Costs*

Alorica initially argues Fortinet is not entitled to prevailing party cost shifting. (Alorica's Mot., pp. 6:13-7:1.) Alorica asserts that it filed three claims, that Fortinet filed eight adjudicated cross-claims, and that Alorica is the prevailing party in this matter as to at least eight claims. Alorica argues that Code of Civil Procedure section 1032, subdivision (a)(4) applies such that "the court, in its discretion, may allow costs or not and, if allowed, may apportion costs between the parties on the same or adverse sides." According to Alorica, Fortinet asserted numerous cross-claims that were not compulsory. Alorica contends Fortinet's failed cross-claims resulted in significant costs, and that at a minimum, the court should find that there is no prevailing party.

In opposition, Fortinet asserts it is the prevailing party under Code of Civil Procedure section 1032. (See Fortinet's Opposition to Alorica's Motion to Tax Costs and Strike Memorandum of Costs ("Fortinet's Opp."), pp. 5:24-7:17.) According to Fortinet, the court left no ambiguity as to its status as prevailing party when it stated: "Alorica shall take nothing on the Second Amended Complaint against Fortinet." (See Judgement After Partial Directed Verdict and Jury Trial, filed Nov. 15, 2024, p. 3:2-3.) Fortinet contends that the outcome of its cross-complaint does not change the analysis, relying upon *Bldg. Maint. Serv. Co. v. Ail Sys.* (1997) 55 Cal.App.4th 1014, 1025 for the proposition that "[a] defendant who defeats the plaintiff's claim on a complaint, but who recovers nothing on his cross-complaint against the plaintiff, is nevertheless a prevailing party entitled to costs."

Fortinet asserts that it is the prevailing party under Code of Civil Procedure section 1032, subdivision (a)(4), because it is "a defendant where neither plaintiff nor defendant obtains any relief," as well as "a defendant as against those plaintiffs who do not recover any relief against that defendant." According to Fortinet, both parties cannot be deemed prevailing parties, and Alorica's requested approach would lead to an illogical result penalizing defendant for asserting compulsory cross-claims. In reply, Alorica maintains that Fortinet is not the prevailing party because only some of Fortinet's cross-claims related to Alorica's purchase of products while Fortinet's other cross-claims are outside the "traditional realm" of compulsory cross claims. (See Reply, pp. 3:2-4:5.) Alorica argues Fortinet has provided no basis for a determination that it is the prevailing party because Alorica prevailed on far more claims.

In this case, the court finds that Fortinet is entitled to recover costs as the prevailing party. Fortinet is a "a defendant where neither plaintiff nor defendant obtains any relief," as well as "a defendant as against those plaintiffs who do not recover any relief against that defendant." (See Code of Civil Procedure, section 1032, subdivision (a)(4).) To the extent that aspects of this situation are not specified by the statute due the cross-claims involved, the court nevertheless finds that Fortinet is the prevailing party because it obtained the greater relief.

2. *Recoverable Costs*

Alorica challenges four categories of costs as follows: (1) $8,196.18 in deposition costs; (2) $42,574.52 for service of process; (3) $120,475.62 for models, enlargements, and photocopies of exhibits; (4) and $430,969.38 in costs for attorney meals and lodging. (Alorica's Mot., pp. 1-3.)

i. <u>Deposition Costs</u>

Alorica challenges $8,196.18 of the $404,119.01 that Fortinet seeks in deposition costs. (Alorica's Mot., p. 7:13-25.) First, Alorica contends that $7,228.72 of this amount is not recoverable because it relates to an attempted deposition in Mexico of Jonathan Merrell that did not ultimately take place. However, as Fortinet argues in reply and as this court has addressed in a prior sanctions motion on this very subject, Fortinet's initial attempt to depose

Mr. Merrell was unsuccessful in no small part because Alorica's counsel refused to stipulate to the deposition even after counsel for both Alorica and Fortinet had already traveled to Mexico. (See Order Re: Motions Sanctions; Motion to Quash; Motions to Seal, filed on July 8. 2024.) Accordingly, the court finds Alorica's argument concerning the costs of Mr. Merrell's deposition to be without merit.

Alorica also challenges $967.46 in costs for an airline ticket for Fortinet witness Alastair Wade's trial travel. As Fortinet concedes on reply, this amount is not recoverable as a deposition expense, and it is therefore taxed.

ii. Service of Process

Alorica challenges the entire amount of $42,574.52 that Fortinet seeks for service of process. (Alorica's Mot., p. 8:1-26.) Alorica argues that the amount requested for service of process should be stricken in its entirety because the statue only authorizes costs for service of summons, not all case documents, and because Fortinet does not sufficiently explain support the amounts requested. Fortinet argues that it is entitled to recover the service costs because e-filing and e-service are mandatory in Santa Clara County Superior Court and because Alorica's own tactics increased Fortinet's service-related costs. (Fortinet's Opposition, pp. 10:8-11:6.) Fortinet relies upon *Lowry v. Port San Luis Harbor Dist.* (2020) 56 Cal.App.5th 211, 222 (*Lowry*), in arguing that the appellate courts have applied subdivision (a)(4) of section 1033.5 to permit the recovery of service for subpoenas.

Here, Alorica has not provided authority in support of its contention that only costs for service of summons are properly recoverable. Furthermore, Alorica has not persuaded the court the requested amount for service of process is unreasonable or unnecessary.

The motion to tax is denied as to this category.

iii. Models, Enlargements, and Photocopies of Exhibits

Alorica challenges $120,475.62 of the $267.802.54 that Fortinet seeks for models, enlargements, and photocopies of exhibits. (Alorica's Mot., pp. 9:1-10:6.) Alorica contends that expenses for witness binders and deposition transcripts should be stricken or taxed because there is no statutory basis for such costs and they are unnecessary. Alorica further argues that Fortinet seeks $99,025.86 in pre-trial graphics expenses that are expressly disallowed under section 1033.5, subdivision (b)(2). In opposition, Fortinet persuasively argues that the challenged expenses were all reasonably necessary to the conduct of the litigation. Furthermore, the court is not persuaded that section 1033.5, subdivision (b)(2) bars the expenses in question because they are more in the nature of technology approved by the court rather than "[i]nvestigation expenses in preparing the case for trial."

Accordingly, the motion to tax is denied as to this category.

iv. Other

Alorica challenges $430,969.38 of the $441,466.06 that Fortinet seeks in item 16 ("Other"), which represents the entire amount sought for attorney meals and lodging. (Alorica's Mot., p. 10:7-23.) Alorica points to the *Ladas* decision, stating that meal expenses for attorneys cannot be "justified as 'necessary to the conduct of the litigation' since attorneys have to eat, whether they are conducting litigation or not." (*Ladas*, 19 Cal.App.4th 761, 774-775.) In opposition, Fortinet contends that the requested lodging and meal expenses are recoverable because they were reasonably necessary for trial. (Fortinet's Opp., pp. 14:23-15:21.) In reply, Alorica contends the hotel charge of $372,154.95 is unreasonable because it includes expenses for some attorneys observing the trial for training purposes and because it includes "improper charges."

Here, the court agrees with Alorica that meal expenses are not justified, but it finds that the lodging expenses are reasonably necessary to the litigation given the length and intensity of the four-week jury trial. Accordingly, the court finds the $372,154.95 amount for lodging is recoverable, and the remaining amount in this category ($69,311.11) is not.

C. Conclusion

Alorica's motion to strike and/or tax Fortinet's memorandum of costs is GRANTED IN PART as to the following claimed costs: $967.46 in deposition costs and $69,311.11 in other expenses. The motion is otherwise DENIED, and Fortinet shall recover the remaining amount of $1,592,618.27.

IV. Fortinet's Motion to Strike or Tax Costs

Fortinet moves to strike or tax the memorandum of costs filed by Alorica on the grounds that Alorica was not the prevailing party as defined by Code of Civil Procedure section 1032, or alternatively, that the claimed costs are unrecoverable, unreasonable, or unnecessary. (See Notice of Motion and Motion, p. 2.) Alorica opposes the motion, contesting each of these of points.

A. Legal Standard

"Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding." (Code Civ. Proc., § 1032, subd. (b).) Items explicitly allowed as costs are set forth in Code of Civil Procedure section 1033.5, subdivision (a). Items expressly disallowed as costs are set forth in section 1033.5, subdivision (b). Other costs may be allowed or denied in the court's discretion. (§ 1033.5, subd. (c)(4).) "Any award of costs shall be subject to the following: [¶] (1) Costs are allowable if incurred, whether or not paid. [¶] (2) Allowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation. [¶] (3) Allowable costs shall be reasonable in amount." (§ 1033.5, subd. (c)(1)–(3).)

As its initial burden, the party seeking costs need only submit a memorandum of costs with a statement by the attorney verifying that the costs claimed are correct and were necessarily incurred in the case. (*Jones*, *supra*, 63 Cal.App.4th at p. 1267.) "If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs." (*Ladas*, *supra*, 19 Cal. App. 4th at p. 774.)

B. Discussion

Fortinet contends that Alorica cannot recover any incurred as part of this litigation because Fortinet, not Alorica, is the prevailing party under Code of Civil Procedure section 1032. (See Fortinet's Memorandum of Points and Authorities in Support Motion to Strike or Tax Alorica Inc's Memorandum of Costs, pp. 2:18-4:1.) Fortinet further contends that Alorica's costs should be taxed to the extent that its memorandum is not completely stricken. (*Id.* at pp. 4:2-8:16.) Alorica counters that it, not Fortinet, is the prevailing party. (See Opp., pp. 2:3-4:20.) Alorica further argues Fortinet has not carried its burden in challenging the claimed costs. (*Id.* at pp. 3:21-5:4.)

Here, the parties generally reiterate the same arguments regarding the prevailing party determination in this case that they respectively raised in the context of Alorica's motion to strike or tax Fortinet's memorandum of costs. As discussed previously in section III(B), the court finds that Fortinet is the prevailing party in this case. Accordingly, the court finds that Alorica is not the prevailing party in this case and is not entitled to recover costs a matter of right under Code of Civil Procedure section 1032, subdivision (b). Therefore, the court finds that Alorica cannot recover any costs incurred as part of this litigation. Having so found, the court declines to address Fortinet's additional arguments that specific categories of Alorica's costs should be taxed.

C. Conclusion

Fortinet's motion to strike Alorica's memorandum of costs in its entirety is GRANTED.

V. Fortinet's Motion for Attorney Fees

Fortinet moves this court for an order requiring Alorica to pay Fortinet $20,216,575.23 in attorneys' fees as the prevailing party in this action. (See Notice of Motion and Motion, p. 1.) Fortinet contends it is entitled to reasonable attorneys' fees pursuant to the Sales Order Acknowledgement agreement between the parties as well as sections 1021 and 1717 of the California Civil Code. (See Fortinet's Memorandum of Points and Authorities in Support of Motion for Attorneys' Fees ("Fortinet's MPA"), p. 4:2-14.)

Alorica opposes, arguing that Fortinet is not entitled to recover attorney fees because its complaint mentions only the End User License Agreement which does not contain an attorneys' fees clause, and Fortinet's cross-complaint does not mention or allege any other contract between the parties. (See Alorica's Opposition to Fortinet, Inc.'s Motion for Attorneys' Fees ("Alorica's Opp."), p. 5:2-11.) Alorica argues that the Sales Order Acknowledgement agreement relied upon by Fortinet was not at issue in this action. (*Id.* at p. 5:12-20.) Alorica further argues that Fortinet is not the prevailing party and that, even if it was, its request for over $20 million in attorneys' fees is unreasonable. (*Id.* at pp. 5:21-6:11.)

A. Legal Standard

"Under the American rule, each party to a lawsuit ordinarily pays its own attorney fees. [Citations.]" (*Mountain Air Enterprises, LLC v. Sundowner Towers, LLC* (2017) 3 Cal.5th 744, 751 (*Mountain Air Enterprises*).) Code of Civil Procedure section 1021 codifies this rule and permits parties to "contract out" of the American rule by executing an agreement that allocates attorney fees. (*Ibid.*, see also *Trope v. Katz* (1995) 11 Cal.4th 274, 279.) Thus, parties may "validly agree that the prevailing party will be awarded attorney fees incurred in any litigation between themselves, whether such litigation sounds in tort or in contract." (*Mountain Air Enterprises, supra*, 3 Cal.5th at p. 751.) "If such litigation does sound in contract, however, an agreement allocating attorney fees may be within the scope of Civil Code section 1717 and subject to its restrictions." (*Id.* at p. 752, internal punctuation and citations omitted.)

Civil Code section 1717, subdivision (a) provides in pertinent part,

> In any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs. … [¶] Reasonable attorney's fees shall be fixed by the court, and shall be an element of the costs of suit.

In *Khan v. Shim* (2016) 7 Cal.App.5th 49, 56 (*Khan*), the appellate court explained that section 1717 "was enacted to ban unfair one-sided fee provisions [and] has been expanded over time to cover reciprocal fee agreements as well and to ban the award of attorney fees to certain claims if the complaining party files a voluntary dismissal before trial."

An action is generally considered to be "on a contract" for purposes of section 1717 if:

> (1) the action (or cause of action) "involves" an agreement, in the sense that the action (or cause of action) arises out of, is based upon, or relates to an agreement by seeking to define or interpret its terms or to determine or enforce a party's rights or duties under the agreement, and (2) the agreement contains an attorney fees clause.

(*Khan*, *supra*, 7 Cal.App.5th at p. 57, fn. 6; quoting (*Douglas E. Barnhart, Inc. v. CMC Fabricators, Inc.* (2012) 211 Cal.App.4th 230, 241–242.)

Code of Civil Procedure section 1032, subdivision (a)(4), defines the term "prevailing party" to include "the party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant." A defendant against whom the plaintiff does not recover is a prevailing defendant. (*Santisas v. Goodin* (1998) 17 Cal.4th 599, 606.)

B. Discussion

In support of its motion for attorneys' fees, Fortinet contends it is the prevailing party, it is entitled to recover under the parties' Sales Order Acknowledgement agreement, and that its request for roughly $20 million in attorneys' fees is reasonable. (Fortinet's MPA, pp. 6:3-14:11.)

While the court finds that Fortinet is the prevailing party and that it is entitled to recover attorneys' fees pursuant to the parties' SOA agreement, it further finds that the amount requested is excessive. The court finds some merit to Alorica's contention that Fortinet's fee request includes substantial overlap in billing due to Fortinet's decision to hire a separate law firm fairly late in the history of this litigation. Fortinet argues that Alorica has not identified any specific billing entries that it contends constitute "get up to speed" billing. (See Reply, p. 12:21-26.) Fortinet acknowledges that there was some amount of potentially duplicative work, explaining that it removed what it identified as potentially duplicative billing and that the law firms each applied percentage discounts on all fees. (*Ibid*.; see also Fortinet's MPA, pp. 10:21-14:11.) Fortinet states that it applied a 30 percent discount to the lodestar amount of $28,880,821.75 to account for any potential duplication of efforts or inefficiencies, thereby arriving at its requested amount of $20,216,575.23. (Fortinet's MPA, p. 14:5-9.) In the court's view, a 50 percent deduction is more appropriate in this case due to the time and duplication of effort required to bring the KVP firm in as lead trial counsel in 2024.

Accordingly, for the reasons set forth above, the court GRANTS Fortinet's motion for attorneys' fees in the reduced amount of $14,440,410.90.

V. Conclusion

Fortinet's motion to amend its memorandum of costs is GRANTED.

Alorica's motion to strike and/or tax Fortinet's memorandum of costs is GRANTED IN PART as to the following claimed costs: $967.46 in deposition costs and $69,311.11 in other expenses. The motion is otherwise DENIED, and Fortinet shall recover the remaining amount of $1,592,618.27.

Fortinet's motion to strike Alorica's memorandum of costs in its entirety is GRANTED.

The court GRANTS Fortinet's motion for attorneys' fees in the reduced amount of $14,440,410.90.

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Case Name: *Satoshi Kobayashi v. Dfinity USA Research LLC et. al*
Case No.: 23CV415981

Plaintiff Satoshi Kobayashi ("Kobayashi") filed this action against Defendants Dfinity USA Research LLC ("Dfinity") and Dominic Williams ("Williams") (together, "Defendants") based on Williams's alleged tortious interference with Kobayashi's rights concerning his investment in a blockchain project known as the Internet Computer Protocol ("ICP" or "ICP Network"). Kobayashi now moves to stay proceedings pending the outcome of Kobayashi's appeal of the court's October 3, 2024 order granting Williams's motion to quash for lack of personal jurisdiction. (See Notice of Entry of Order Granting Specially Appearing Defendant Dominic William's Motion to Quash ("Motion to Quash Order"), signed Oct. 3, 2024.) Also before the court are several pending motions to seal.

I. BACKGROUND

According to the allegations of the complaint, Williams promoted the ICP from 2016 until its launch on May 10, 3 2021, and he solicited investments globally. (Complaint, ¶ 2.) Williams served not as only the principal promoter of ICP, but also (1) the CEO of Dfinity, the Palo Alto-based company principally responsible for the operations of ICP and (2) the "Chief Scientist" of the Dfinity Foundation (the "Foundation"), a Swiss nonprofit entity with substantial operations in Palo Alto that has certain administrative responsibilities related to ICP. (*Ibid.*) In 2017, Kobayashi invested 15,000 Ethereum tokens (currently worth over $25 million) in ICP. (*Id.* at ¶ 3.) Under the terms of his investment, he was entitled to: (1) his pro rata share of ICP tokens ("Tokens") to be allocated under a formula that would see early investors receive 78% of the total available Tokens when ICP launched; (2) governance of ICP by a decentralized voting process; and (3) receipt of Tokens that would be freely tradeable upon ICP launch, which turned out to be May 21, 2021. (*Ibid.*)

Williams's assurances that ICP would not be a "pump-and-dump" scam were empty. (Complaint, ¶¶ 4-5.) Williams and Dfinity tortiously interfered with the rights of ICP seed investors generally and later they targeted Kobayashi specifically. (*Id.* at ¶ 5.) Namely, they induced the Foundation to allocate only 24.7% of Tokens to early investors, ICP was wholly controlled by Williams, Tokens were not freely tradeable at the ICP Network launch, Defendants caused the Foundation to remove or circumvent vesting restrictions on Williams and other insiders, and Kobayashi did not receive his pro rata share of Tokens. (*Ibid.*) The Tokens traded for hundreds of dollars each at the Network launch but lost approximately 95% of their value within two months and they currently trade at approximately $6 per token. (*Id.* at ¶ 6.) This occurred as a result of Defendants' conduct and Williams's domineering control of what is supposed to be a decentralized network. (*Id.* at ¶ 7.) In an attempt to avoid an investor lawsuit, Williams moved to Switzerland. (*Id.* at ¶ 9.)

On May 8, 2023, Kobayashi filed the complaint, alleging the following causes of action: (1) tortious interference with contract; (2) tortious interference with prospective economic advantage; (3) breach of fiduciary duty; (4) conversion; (5) trespass to chattels; and (6) unfair competition. On October 3, 2024, the court signed the Motion to Quash Order, granting Williams's motion to quash service of summons. On December 6, 2024, Kobayashi filed a motion to stay proceedings pending appeal of the Motion to Quash Order. Also before the court are three separate motions to seal, one filed in connection with the present motion to stay and two filed in response to unrelated motions.

II. Motions to Seal

a. General Legal Standards

"The court may order that a record be filed under seal only if it expressly finds facts that establish: (1) [t]here exists an overriding interest that overcomes the right of public access to the record; (2) [t]he overriding interest supports sealing the record; (3) [a] substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) [t]he proposed sealing is narrowly tailored; and (5) [n]o less restrictive means exist to achieve the overriding interest." (Cal. Rules of Court, rule 2.550(d).) Pleadings should be open to public inspection "as a general rule," although they may be filed under seal in appropriate circumstances. (*Mercury Interactive Corp. v. Klein* (2007) 158 Cal.App.4th 60, 104, fn. 35.)

"Courts have found that, under appropriate circumstances, various statutory privileges, trade secrets, and privacy interests, when properly asserted and not waived, may constitute overriding interests." (*In re Providian Credit Card Cases* (2002) 96 Cal.App.4th 292, 298, fn. 3 (*Providian*).) "[A] binding contractual agreement not to disclose" may suffice. (*Huffy Corp. v. Superior Court* (2003) 112 Cal.App.4th 97, 107.) In addition, confidential matters relating to the business operations of a party may be sealed where public revelation of the information would interfere with the party's ability to effectively compete in the marketplace. (See *Universal City Studios, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1273, 1285-1286 (*Universal*).)

Where some material within a document warrants sealing but other material does not, the document should be edited or redacted, if possible, to accommodate both the moving party's overriding interest and the strong presumption in favor of public access. (Cal. Rules of Court, rule 2.550(d)(4), (5).) In such a case, the moving party should take a line-by-line approach to the information in the document, rather than framing the issue to the court on an all-or-nothing basis. (*Providian*, *supra*, 96 Cal.App.4th at p. 309.)

b. Discussion

i. Dfinity's Motion to Seal Plaintiff's Exhibits Lodged in Support of a Stay

Dfinity moves to seal three exhibits in their entirety, and portions of other exhibits, filed in support of Kobayashi's motion to stay.[2] (Notice of Motion to Steal Exhibits filed in Support of Stay, pp. 1:8-10:7.) Kobayashi does not appear to oppose Dfinity's motion to seal.

Dfinity explains that the material at issue contains personally identifying and sensitive information, confidential commercially sensitive business information, and confidential information irrelevant to the case. (See Memorandum of Points and Authorities in Support of Dfinity's Motion to Seal Plaintiff's Exhibits Lodged in Support of Motion to Stay ("Dfinity Sealing MPA"), pp. 4:12-5:14; Declaration of Aaron T. Goodman in Support of Dfinity's Motion to Seal Plaintiff's Exhibits Lodged in Support of Motion to Stay, ¶ 3.) According to Dfinity, it "moves to seal portions of Exhibits 1, 2, 3, 5 and 8" to a declaration filed in support of Kobayashi's motion to stay "to the extent they contain private Personal Identifying and Sensitive Information, including confidential wallet addresses, information concerning non-party financial transactions, and other private information that has nothing to do with this case." (Dfinity Sealing MPA, p. 4:13-18.) Dfinity moves to seal portions of "Exhibits 2, 3, 4, 5, 6, and 7, to the extent they contain non-public, commercially sensitive business information. This includes discovery responses (Ex. 2, 3 and 5), internal communications (Ex. 6 and 7), and a confidential agreement between DFINITY USA and the Swiss DFINITY Foundation (Ex. 4)." (*Id.* at pp. 4:19-5:6.)

The court declines to seal any exhibit in its entirety but otherwise finds that the proposed sealing appears to be narrowly tailored to confidential information, and the court finds that Dfinity has established an overriding interest that justifies sealing the materials and that the other factors set forth in rule 2.550 are satisfied. (See Cal. Rules of Court, rule 2.550(d).)

[2] Dfinity refers to Kobayashi's "motion to seal" throughout the notice and memorandum of points and authorities Dfinity filed in support its motion to seal. Given that Kobayashi did not file a motion to seal on December 6, 2024, but rather the present motion to stay, the court assumes Dfinity intended to refer to Kobayashi's motion to stay.

Accordingly, the court GRANTS Dfinity's motion to seal exhibits lodged by Kobayashi in support of his motion to stay.

ii. Williams's Motion to Seal

On July 18, 2024, Williams filed a motion to seal three exhibits Kobayashi filed in connection with Kobayashi's opposition to William's motion to quash service of summons for lack of personal jurisdiction. (See Specially-Appearing Defendant Dominic Williams's Notice of Motion and Motion to Seal Confidential Documents, p. 1:6-12.) Kobayashi does not appear to have opposed Williams's motion.

Williams explains that the material at issue contains confidential settlement information, personally identifying and sensitive information, and confidential commercially sensitive business information. (See Memorandum of Points and Authorities in Support of Specially-Appearing Williams's Motion to Seal, pp. 2:1-3:28; Declaration of Aaton T. Goodman in Support of Specially-Appearing Defendant Dominic Williams's Motion to Seal Confidential Documents, ¶¶ 2-10.) The proposed sealing appears to be narrowly tailored to confidential and personally identifying information, and the court finds that Williams has established an overriding interest that justifies sealing the materials and that the other factors set forth in rule 2.550 are satisfied. (See Cal. Rules of Court, rule 2.550(d).)

Accordingly, the court GRANTS Williams's motion to seal documents filed in connection with Kobayashi's opposition to Williams's motion to quash.

iii. Kobayashi's Motion to Seal

On August 9, 2024, Kobayashi filed a motion to seal portions of one exhibit Dfinity filed in connection with Dfinity's reply in support of its demurrer. (See Kobayashi's Notice of

Unopposed Motion and Unopposed Motion to Seal, p. 1:2-9.) Dfinity does not appear to have opposed Kobayashi's motion.

Kobayashi explains that the material at issue contains personally identifying and sensitive information. (See Kobayashi's Memorandum of Points and Authorities in Support of Unopposed Motion to Seal, pp. 2:11-3:19; Declaration of Gregory N. Wolfe in Support of Kobayashi's Unopposed Motion to Seal, ¶ 6.) The proposed sealing appears to be narrowly tailored to confidential and personally identifying information, and the court finds that Kobayashi has established an overriding interest that justifies sealing the materials and that the other factors set forth in rule 2.550 are satisfied. (See Cal. Rules of Court, rule 2.550(d).)

Accordingly, the court GRANTS Kobayashi's motion to seal portions of an exhibit filed in support of Dfinity's reply in support its demurrer to Kobayashi's complaint.

III. Motion to Stay

a. General Legal Standards

Courts have "fundamental inherent equity, supervisory, and administrative powers, as well as inherent power to control litigation before them. [Citation.]" (*Rutherford v. Owens Illinois, Ins.* (1997) 16 Cal.4th 953, 967.) That power extends to adopting any suitable method of practice in pending litigation, as long as those methods do not conflict with any statute or other law. (*Ibid.*) Trial courts may stay proceedings for a variety of reasons, including based on the court's inherent authority. (*Frieberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489 ["Trial courts generally have the inherent power to stay proceedings in the interest of justice and to promote judicial efficiency. [Citations.]"].) "[T]he power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants." (*Landis v. N. Am. Co.* (1936) 299 U.S. 248, 254 (*Landis*).)

b. Discussion

Kobayashi seeks a stay of all proceedings, including discovery, pending his appeal of the Motion to Quash Order. (Notice of Motion to Stay Proceedings, p. 1.) Kobayashi argues that while this appeal "is pending and if the case is not stayed, the parties will undoubtedly engage in extensive discovery motion practice and may file dispositive motions and even go to trial. The allegations against Dfinity USA and Williams are similar. In the event the Court of Appeal reverses the [Motion to Quash Order], the case will be remanded and Kobayashi will be forced to litigate many of the same issues all over again against Williams." (Memorandum of Points and Authorities in Support of Motion to Stay Proceedings ("MPA"), p. 9:12-16.) Kobayashi further argues that "Dfinity will not be prejudiced by a stay" and his appeal "raises at the very least substantial questions going to the merits, as reflected by the fact that the Court's tentative ruling was in Kobayashi's favor." (See *id.* at pp. 10:4-15:25.)

Dfinity contends that "California has a strong presumption against the issuance of a stay" and the cases Kobayashi relies on are inapposite. (See Dfinity's Opposition to Motion to Stay Proceedings ("Opposition"), pp. 10:4-11:10.) Dfinity further contends that under Code of Civil Procedure section 916 an appeal does not stay ancillary or collateral matters. (See *id.* at p. 11:13-25.) According to Dfinity, Kobayashi's appeal involves a collateral order or judgment, and therefore the court should not stay the entire action. (See *id.* at pp. 11:26-12:6.) Dfinity also contends that "Plaintiff acknowledges by omission that CCP section 916 does not provide a basis to stay his claims against [Dfinity]. Rather, Plaintiff requests a multi-year discretionary stay under the Court's inherent authority. [Citation.] When considering a discretionary stay pending the appeal of an issue collateral to the remaining claims, California courts turn to the test laid out by the Supreme Court in *Landis*. . . . All of [the *Landis*] factors weigh against Plaintiff's requested stay." (See *id.* at pp. 12:7-16:12, internal citations and quotation marks omitted.)

First, the court agrees with Dfinity that Kobayashi appears to base his request for a stay under the court's inherent discretionary power to stay proceedings, rather than under Civil Code of Procedure section 916. Code of Civil Procedure section 916, subdivision (a) provides, in relevant part, that "the perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order, but the trial court may proceed upon any other matter embraced in the action and not affected by the judgment or order." (Code Civ. Proc., § 916, subd. (a).) Kobayashi makes no mention of Code of Civil procedure section 916 in the MPA. Moreover, Kobayashi argues that trial courts "have the power to issue *discretionary* stays pending appeal." (See MPA, p. 9:3, internal quotation marks omitted, emphasis added; see also *id.* at p. 1:5 ["All of the discretionary factors counsel in favor of stay."].) Code of Civil Procedure section 916 requires an *automatic* stay of proceedings.[3]

The court also agrees with Dfinity that *People ex re. San Francisco Bay Conservation & Development Com. v. Emeryville* (1968) 69 Cal.2d 533 (*Emeryville*) and *Daly v. San Bernardino County Board of Supervisors* (2021) 11 Cal.5th 1030 (*Daly*) are distinguishable in that they both involved injunctive relief. (See Opposition, pp. 10:19-11:10.) In *Emeryville*, the California Attorney General brought suit to enjoin certain landfill operations by the defendant on the ground that defendant had not obtained the requisite permit. (See *Emeryville, supra,* 69 Cal.2d 533 at p. 536.) In view of the "urgency of the litigation," the California Supreme Court "ordered the cause transferred to this court. [Citation.] At that time [the Supreme Court]

[3] The court notes that even if Kobayashi had argued for an automatic stay under Code of Civil Procedure section 916, the court would have found Kobayashi's argument unpersuasive given that the automatic stay does not suspend trial court proceedings on "remaining components of the litigation," including "claims against other parties." (See *Hedwall v. PCMV, LLC* (2018) 22 Cal.App.5th 564, 580, fn. 11 ["Under subdivision (a) of section 916, with certain exceptions, the perfecting of an appeal [automatically] stays proceedings in the trial court . . . [h]owever, the automatic stay does not suspend trial court proceedings on the remaining components of the litigation, for example, claims against other parties—such as Arcis and PCMV—not resolved by the judgment or order under appeal."], internal citations and quotation marks omitted.) Here, the Motion to Quash Order concerned the court's jurisdiction over only one defendant, Williams, and not Dfinity.

issued an order enjoining all fill operations by the [defendant] pending final determination of the appeal." (*Ibid*.) The Supreme Court disagreed with the defendant that the Supreme Court lacked jurisdiction to stay the case, finding that "where, as here, difficult questions of law are involved and the fruits of a reversal would be irrevocably lost unless the status quo is maintained, justice requires that an appellate court issue a stay order to preserve its own jurisdiction. While this power should be sparingly employed and reserved for the exceptional situation . . ." (*Id.* at p. 537.)

In *Daly*, the California Supreme Court noted that in California, "a long-established set of rules governs stays of injunctive orders—that is, orders to do something or to refrain from doing something. What rule applies depends on which kind of order it is." (*Daly, supra,* 11 Cal.5th at p. 1035.) The Supreme Court considered "how these rules apply to an order requiring a local legislative body, the San Bernardino County Board of Supervisors, to remove and replace one of its members," concluding that "[t]he superior court's order to remove and replace [a county] board member was a mandatory injunction—a command that the board take affirmative action to remedy the violation found by the trial court. As such, under long-established precedent, the order should be stayed until the appellate court has determined whether the trial court was correct." (*Ibid*.)

On reply, Kobayashi argues that the court should nevertheless consider the "substantial questions" inquiry used by the Court of Appeal in *Emeryville*, contending that "[a]s the Court is no doubt aware, it may consider in its stay inquiry whether the appeal raises substantial questions going to the merits." (Plaintiff's Reply Memorandum of Points and Authorities in Support of Motion to Stay Proceedings ("Reply"), p. 7:14-15.) In support of this argument, Kobayashi cites two cases purportedly not involving injunctive relief. (See Reply, p. 7:14-23, citing *Molybdenum Corp. of America v. Wright* (1956) 143 Cal.App.2d 288 (*Molybdenum*), *Veyna v. Orange County Nursery, Inc.* (2009) 170 Cal.App.4th 146 (*Veyna*).) The court notes that all four of the opinions cited by Kobayashi—*Molybdenum*, *Veyna*, *Emeryville*, and *Daly*—involved writs of supersedeas and a standard applied by the Court of Appeal to evaluate the request.[4] (See *Daly, supra,* 11 Cal.5th at p. 1035; *Emeryville, supra,* 69 Cal.2d at pp. 536-537; *Molybdenum, supra,* 143 Cal.App.2d at p. 288; *Veyna, supra,* 170 Cal.App.4th at p. 150.)

"Supersedeas is an extraordinary writ issued by an *appellate court* to a lower court or officer thereof, directing that enforcement of a judgment be stayed *pending an appeal* in the court issuing the writ, where the relief is necessary to protect the *appellant* from serious injury in case of reversal, and will not cause the respondent disproportionate injury in case of *affirmance*." (*California Table Grape Com. v. Dispoto* (1971) 14 Cal.App.3d 314, 316, emphasis original.) "The writ of supersedeas is an aid to the appellate jurisdiction of an appellate court; its purpose is to stay proceedings on the judgment or order from which an appeal is taken. [Citation.]" (*In re Christy L.* (1986) 187 Cal.App.3d 753, 758-759.)

Kobayashi does not seek to stay a court judgment or order. Kobayashi seeks a "stay of all proceedings in this case, including discovery." (MPA, p. 1:1-2.) The court therefore does not find the "substantial questions" inquiry, used in a very specific procedural context by the Courts of Appeal in *Emeryville* and *Veyna*, applicable here. (See California Rules of Court, rule 8.112, subd. (a)(1) ["A party seeking a stay of the enforcement of a judgment or order pending appeal may serve and file a petition for writ of supersedeas in the reviewing court."]; *Venya, supra,* 170 Cal.App.4th at pp. 150, 157 ["Three days later it filed the instant petition for writ of supersedeas in which it asks this court to stay the trial court decree pending resolution of the appeal. . . . An application for a stay of a *judgment* should, wherever possible, be made first in the superior court."], emphasis added; *Emeryville, supra,* 69 Cal.2d at p. 537 ["A trial court's familiarity with the evolving circumstances of a case normally constitutes it the

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[4] "[T]he issuance of a writ of supersedeas is a matter of discretion to be exercised by the court whenever it appears necessary and proper to preserve appellate jurisdiction. . . . Being discretionary, the writ will not be granted to maintain a status quo of the litigation unless the appeal presents substantial questions for decision, and unless there is a probability that error has been committed. The burden is upon petitioner herein to establish the necessity of the writ, as well as to show wherein the trial court abused its discretion in its denial of his motion for a stay." (*Donen v. Donen* (1964) 228 Cal.App.2d 441, 448, internal quotations and citations omitted.)

appropriate forum to weigh the relative hardships on the parties, including the likelihood that substantial questions will be raised on appeal, and its refusal to grant or to continue an injunction during appeal is entitled to great weight."].)

Nor, however, is the court convinced by Dfinity's use of *Landis*. (See Opposition, pp. 12:11-13:6.) The court agrees with Kobayashi's argument that "it is *California* law that controls . . . [the case cited by Dfinity] merely cited *Landis* for the basic proposition that courts have the inherent authority 'to control the disposition' and should 'weigh competing interests' in do so. [Citation.]" (Reply, pp. 7:24-8:3, emphasis original.) Outside of a single California state court case that only adopts the "basic proposition" noted by Kobayashi, Dfinity cites a series of cases in federal court that seemingly applied the factors in *Landis*, but no authoritative California cases doing the same. (See Opposition, pp. 12:7-16:12; *Briggs v. Brown* (2017) 3 Cal.5th 808, 852.) The court therefore also declines to apply the factors outlined in *Landis*.

The court turns to the parties' remaining arguments. Kobayashi argues that "[e]fficiency and common-sense counsel in favor of a stay. Currently, the average civil appeal in the Sixth Appellate District takes 1169 days. While the Appeal is pending and if the case is not stayed, the parties will undoubtedly engage in extensive discovery motion practice and may file dispositive motions and even go to trial. The allegations against Dfinity USA and Williams are similar. In the event the Court of Appeal reverses the [personal jurisdiction order], the case will be remanded and Kobayashi will be forced to litigate many of the same issues all over against Williams." (MPA, p. 9:11-16, footnote omitted.) Kobayashi further argues that burdensome "discovery fights can also be avoided through a stay. . . . If the case proceeds in its current posture, Kobayashi may well have to seek discovery from Williams twice—first in his capacity as non-party while the appeal is pending and then in his capacity as a party if the [personal jurisdiction order] is reversed. Williams will undoubtedly resist giving testimony in this case now that he is a non-party . . ." (*Id.* at pp. 9:20-10:1.) Finally, Kobayashi argues that Dfinity "will not be prejudiced by a stay; in fact, it will benefit from one by avoiding the duplicative litigation described above. . . . A stay will also spare Dfinity USA from expenses during the pendency of Kobayashi's appeal . . . " (*Id.* at p. 10:6-14.)

Dfinity responds that a stay of proceedings will cause "obvious harm and prejudice to [Dfinity] if it is denied the opportunity to defend itself in this action, not by months, but by years," arguing that waiting for the result of the appeal "would increase the danger of prejudice resulting from the loss of evidence, including the inability of witnesses to recall specific facts." (Opposition, p. 13:14-18, citing *Avant! Corp. v. Sup. Ct* (2000) 79 Cal.App.4th 887.) Dfinity further argues that Kobayashi "does not identify any hardship, undue burden or inequity that will result if his motion to stay is not granted . . . [a]t most, he argues without submission of any accompanying evidence or supporting legal authority, that a stay pending his collateral appeal would avoid relitigating issues, duplicative discovery and motion practice, and the potential for separate trials. But discovery is not restricted to the parties of a case . . . this amounts to nothing more than the normal burdens of litigation that would occur regardless of the outcome on appeal." (*Id.* at p. 14:11-22, internal citations and quotation marks omitted.)

On reply, Kobayashi contends that Williams's testimony and any documents in his possession will be "among the most important evidence in this case. But so long as Williams remains absent and abroad, Plaintiff may be unable to secure *any* evidence from him." (Reply, p. 1:23-25, emphasis original.) Kobayashi further contends that it "is undisputed that Williams's presence would streamline proceedings by simplifying or mooting the parties' discovery disputes. It is also undisputed that, if a stay does not issue, there will likely be two rounds of litigation—each with its own dispositive motion practice, discovery, and trial—if Plaintiff secures a reversal." (*Id*. at p. 2:5-8.) Kobayashi also contends that Dfinity has failed to demonstrate that "prejudice supports a stay. The lone prejudice Dfinity USA identifies is the prospect that evidence may be lost and memories may fade during the pendency of Plaintiff's appeal." (*Id.* at p. 2:26-28.) Ultimately, according to Kobayashi, "both sides agree that the Court should consider the *balance* of the hardships in deciding whether to give a stay. [Citation.] Any prejudice resulting from a stay will be suffered disproportionately by Plaintiff and thus does not militate against a stay that *Plaintiff* has requested." (*Id.* at p. 10:18-21, emphasis original.)

The court is not convinced that a stay is appropriate at this time. Kobayashi seems to suggest that staying this action pending appeal could result in a stay of roughly *three* years. (See MPA, p. 9:11-12 ["Efficiency and common-sense counsel in favor of a stay. Currently, the average civil appeal in the Sixth Appellate District takes 1169 days."].) The court does not find Kobayashi's arguments in favor of a stay persuasive, especially given this timeframe. Many of Kobayashi's arguments regarding the potential difficulties Kobayashi may encounter with discovery are speculative—according to Kobayashi, in the event the Court of Appeal reverses this court's personal jurisdiction order, continuing trial proceedings without a stay could risk duplication and burdensome discovery fights because Kobayashi may have to seek discovery from Williams both as a party and nonparty to the litigation, Kobayashi may be unable to secure evidence from Williams, and the parties will likely litigate two rounds of litigation. (See MPA, pp. 9:11-10:1; Reply, pp. 1:23-25, 2:5-8)

Kobayashi, however, may still request discovery from Williams as a nonparty to the action. (See *Board of Registered Nursing v. Superior Court* (2021) 59 Cal.App.5th 1011, 1030 ["In California, discovery may be obtained from a nonparty through an oral deposition, a written deposition, or a deposition for the production of business records and things. (Code Civ. Proc., § 2020.010, subd. (a).)"].) As to Kobayashi's argument that Kobayashi may encounter difficulty in obtaining evidence from Williams because Williams is "absent and abroad," the court notes that "[i]nternational discovery activities under California law may be conducted only within the channels and procedures established by the host nation. . . . Whatever the generous provisions of the California discovery statutes, courts ordering discovery abroad must conform to the channels and procedures established by the host nation. The limitation may rest on any one of several theories -- comity, curtailed discretion or implied statutory qualification." (*Volkswagenwerk Aktiengesellschaft v. Superior Court* (1973) 33 Cal.App.3d 503, 508.) In other words, Kobayashi may experience similar difficulties, regarding the international component of the litigation, in obtaining evidence from Williams, whether as a nonparty or a party to the action. Furthermore, the court agrees that a potential three-year stay, as noted by Kobayashi, is a delay with the potential to cause prejudice to defendant. (See *Avant! Corp. v. Superior Court* (2000) 79 Cal.App.4th 876, 887; see also *Alpha Media Resort Investment Cases* (2019) 39 Cal.App.5th 1121, 1132 ["[C]onvenience of the courts is best served when motions to stay proceedings are discouraged. Indeed, California courts are guided by the strong principle that any elapsed time other than that reasonably required for pleadings and discovery is unacceptable and should be eliminated."], internal citations and quotation marks omitted.)

The court DENIES Kobayashi's motion to stay.

IV. Conclusion

The court GRANTS Kobayashi's motion to seal portions of an exhibit filed in support of Dfinity's reply in support its demurrer to Kobayashi's complaint. The court GRANTS Dfinity's motion to seal exhibits lodged by Kobayashi in support of his motion to stay. The court GRANTS Williams's motion to seal documents filed in connection with Kobayashi's opposition to Williams's motion to quash.

The court DENIES Kobayashi's motion to stay.

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